

# Yangen Li

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## Education

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|-------------------------------------------------------------------------|----------------------|
| Ph.D. in Finance, University of Iowa                                    | 2021–2027 (Expected) |
| M.Sc. in Quantitative Financial Economics, Oklahoma State University    | 2019–2021            |
| M.Sc. in Chemical Engineering, China University of Petroleum            | 2016–2019            |
| B.A. in Chemical Engineering, Beijing University of Chemical Technology | 2012–2016            |

## Research Interests

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Machine Learning, Large Language Models, Empirical Asset Pricing, Corporate Finance

## Job Market Paper

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**Future Proves Past: Detecting Hidden Fraud under Imperfect Enforcement Labels**, with C. Wei Li, Yuxuan Li, and Anand M. Vijh.

- *A deep CNN on multi-year accounting panels with soft supervisory labels from future outcomes*
- 2026 University of Iowa Finance Brown Bag Seminar

## Working Papers

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**Listening to History Rhymes: Pattern Recurrence and Return Predictability in Stock Markets**, with C. Wei Li.

- *Hundreds of billions of pairwise trajectory distances computed on GPU to map the full cross-section*
- 2026 Financial Management Association (FMA) Annual Meeting (scheduled)
- 2026 Silicon Prairie Finance Conference
- 2024 University of Iowa Finance Brown Bag Seminar

**CEO Individualism and the Distribution of Performance Risk**, solo-authored.

- *An LLM distilled from frontier-model judgments via QLoRA fine-tuning, fully self-hosted*

**When “Milliseconds” Matter: The Real Effects of High-Frequency Trading**, with Wesley Deng, Bo Hu, and Amy Kwan.

- 2026 Monash Winter Finance Conference (scheduled)
- FMA 2025 New Idea Session; Chinese University of Hong Kong; George Mason University

## Work in Progress

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**The Protestant Ethic and the Principal-Agent Relation: Evidence from CEO Employment Agreements**, with C. Wei Li, Yuxuan Li, and Yiming Qian.

- 2025 Eastern Finance Association (EasternFA) Annual Meeting

**Slow Risk, Fast Noise: The Frequency Structure of Market Risk in the Cross-Section of Returns**, with Wei Li.

**CEO Compensation Governance: Clustering, Learning, and Convergence**, solo-authored.

## Teaching Experience

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### University of Iowa, Tippie College of Business

#### *Stand-alone Instructor*

- Introductory Financial Management, Spring 2024
- Investment Management, Summer 2025 & Summer 2026

#### *Teaching Assistant*

- Introductory Financial Management (Discussion Session  $\times 3$ ), Spring 2023

### Oklahoma State University, Spears School of Business

#### *Graduate Teaching Assistant*

- FIN 4223/5223 Investment Theory & Strategy, Fall 2019 & Fall 2021
- FIN 4813/5550 Portfolio Management, Spring 2020

## Grants & Awards

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|--------------------------------------------------------------------------------|----------------|
| Graduate College Travel Award, University of Iowa                              | 2024–Present   |
| Ponder Fellowship, University of Iowa                                          | Summer 2025    |
| Graduate College Summer Fellowship (\$5,500), University of Iowa               | 2024–2025      |
| Graduate College Post-Comprehensive Research Fellowship (\$11,000)             | Feb.–June 2025 |
| Spears School of Business Full Graduate Scholarship, Oklahoma State University | 2019–2021      |

## Dissertation Committee Members

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### C. Wei Li (Chair)

Associate Professor of Finance  
University of Iowa  
Email: [wei-li@uiowa.edu](mailto:wei-li@uiowa.edu)

### Erik Lie

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### Ashish Tiwari

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### Anand M. Vijh

Professor of Finance  
University of Iowa  
Email: [anand-vijh@uiowa.edu](mailto:anand-vijh@uiowa.edu)

## Additional Information

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### *Computing*

- Fine-tune and distill open-weight LLMs (QLoRA) on a self-built three-GPU workstation (88 GB VRAM); all training and inference run locally

### *Programming & Software*

- Python, SAS, Stata, R

### *Languages*

- English (fluent); Mandarin (native)

## Abstracts

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**Future Proves Past: Detecting Hidden Fraud under Imperfect Enforcement Labels**, with C. Wei Li, Yuxuan Li, and Anand M. Vijh.

*Abstract:* We identify a fundamental two-sided problem in accounting fraud detection arising from imperfect enforcement labels. The first is a training problem: models trained on SEC enforcement actions may learn the enforcement process rather than the underlying fraud process because observed AAER cases represent only a selectively revealed subset of fraudulent firms. The second is an evaluation problem: if enforcement labels are incomplete, conventional classification accuracy cannot determine whether a model identifies hidden fraud or merely reproduces observed enforcement patterns. We address these problems using a *future-proves-past* framework that incorporates future accounting outcomes into the supervisory signal during training. We implement the approach using a deep convolutional neural network trained on multi-year accounting panels with soft supervisory labels. While the model maintains strong performance on traditional SEC-labelled benchmarks, its main contribution is identifying economically meaningful hidden fraud outside the observed enforcement set. Firms identified as high-risk exhibit higher future equity issuance, substantial post-issuance underperformance, and significant negative abnormal returns, while independently verified clean populations receive systematically lower fraud rankings.

**Listening to History Rhymes: Pattern Recurrence and Return Predictability in Stock Markets**, with C. Wei Li.

*Abstract:* We propose a complementary empirical representation of stock returns: rather than treating the firm-date panel as the primitive object of analysis, we embed rolling 60-day daily-return segments of U.S. equities from 1970 to 2024—approximately 1.29 million segments—into a geometric space of standardized trajectories, extending the exhaustive pairwise-comparison principle of the *Matrix Profile* to the full cross-section. Comparing each segment’s nearest neighbors in real data with those in a bootstrap random walk benchmark, we construct the *Pattern Distance Ratio* (PDR), a measure of pattern recurrence. Recurrence is genuine and persistent: the correlation between in-sample and out-of-sample PDR is 0.310 one year apart, decays only to 0.274 three years apart, is positive in every year, and rises to 0.510 as the comparison sample lengthens, while a random walk placebo produces no persistence. Recurrence also predicts returns: strongly recurring segments carry more reliable predictive signals, and a trajectory-space kernel ridge strategy earns annualized gross long-short alphas of roughly 9% to 15% across standard factor models that remain significant in the most recent subperiods. Charged at stock-level effective spreads, however, the strategy’s gross return tracks the cost of trading it over five decades and the net alpha is indistinguishable from zero: the predictability is genuine but lives inside the no-arbitrage band that transaction costs create. Transplanted with a fully frozen specification to fourteen international markets, the equal-weighted long-short return is positive in every market and a global composite earns a significant regional-factor alpha.

**CEO Individualism and the Distribution of Performance Risk**, solo-authored.

*Abstract:* How do CEOs resolve the tradeoff between shareholder value and employee welfare when adverse performance shocks force an allocation choice? I show that CEO individualism shifts this allocation systematically toward shareholders. I measure individualism from earnings-call speech in two steps: a transformer scores semantic similarity to 180 validated anchor sentences, and a specialized large language model—distilled from a frontier model’s judgments through QLoRA fine-tuning—isolates the high-exposure exchanges in which CEOs must take a position without preparation, where disposition is behaviorally revealed. Across approximately 376,000 quarterly

calls for ExecuComp firms (2008–2024), a one-standard-deviation increase in CEO individualism raises the pass-through of an ROA shock to employment by 6.2 percentage points, roughly twice the median CEO’s response. The effect is concentrated in downturns: individualistic CEOs cut workforces aggressively when performance falls, but hire like collectivist peers in good times. I call this a *scarcity-revealed weighting* channel. A CEO’s objective weighting becomes visible in outcomes only when scarcity forces a binding tradeoff—which is why the effect is asymmetric, a signature that a symmetric efficiency story cannot generate. A parallel result on labor costs confirms the pattern.

**When “Milliseconds” Matter: The Real Effects of High-Frequency Trading**, with Wesley Deng, Bo Hu, and Amy Kwan.

*Abstract:* This paper examines how high-frequency trading affects corporate investment and financing. Using a unique Australian setting with broker-level HFT identifiers, we exploit the introduction of ASX-ITCH, a high-speed order-level market data feed that increased the speed of trading information, as plausibly exogenous variation in HFT presence. As HFT activity rises, firms experience sizable decline in investment and equity issuance. These effects are concentrated among firms that rely more heavily on external equity financing. We find consistent evidence using an alternative identification strategy based on the staggered global rollout of exchange co-location services. Overall, the findings show that financial market innovations can alter firms’ financing capacity and investment decisions, providing a channel through which financial market structure may influence aggregate economic growth.

**The Protestant Ethic and the Principal-Agent Relation: Evidence from CEO Employment Agreements**, with C. Wei Li, Yuxuan Li, and Yiming Qian.

*Abstract:* We study how regional religious culture shapes the formality of the principal–agent relationship between boards and CEOs. Leveraging large language models to extract and analyze CEO employment agreements from SEC filings for S&P 1500 firms, we document notable differences in contracting practices between S&P 500 and non-S&P 500 firms. We find that firms headquartered in counties with higher Protestant adherence are less likely to use explicit CEO employment contracts, consistent with a cultural emphasis on situational judgment and implicit commitments to shared values rather than formal, codified agreements. Protestant culture also moderates how boards evaluate CEO performance during challenging periods.